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Recycling with the Best

Weekly Ship Recycling Report

05 December 2023 - 08 December 2023

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Highlights of the Week

The current state of the ship recycling sector in India has shown a slight improvement compared to the previous week. Additionally, there has been a minor improvement in the local market. On the other hand, the situation in Pakistan has been very quiet this week, similar to the situation in Bangladesh. The current situation in Bangladesh is characterized by a sluggish pace, primarily attributed to a shortage of US dollars and the anticipation surrounding the upcoming elections. Türkiye appears to be experiencing an upward trajectory, with few positive indicators observed.

The European List of ship recycling facilities had its 12th edition adopted by the European Commission. Two yards situated in Türkiye and one yard in the United States are re-included on the amended list, following a five-year absence. Five listed yards in Norway and one listed yard in Finland have also had their inclusion dates extended by the Commission. Additionally, three establishments situated in Denmark, the Netherlands, and Norway have been removed from the revised inventory due to their discontinuation of activities related to ship recycling. At present, there are 45 ship-recycling facilities on the European List, 15 in the United States, 9 in Turkey, and 35 yards in Europe (EU, Norway, and UK).

Saudi Arabia and Russia, the two largest oil exporting nations globally, issued a joint statement on December 7, urging all member countries of the Organization of Petroleum Exporting Countries and its allies (OPEC+) to participate in an agreement to reduce oil production for the sake of the global economy. The Russian President made an impromptu visit to Riyadh to meet with the Saudi Crown Prince. One of the main topics of discussion during the meeting was the potential for coordinated measures on the global oil markets.

Exchange Rates:

USD / INR ₹

This Week	:	83.38
Previous Week	:	83.29
Lost	:	0.09

USD / BDT ৳

This Week	:	109.90
Previous Week	:	110.19
Gained	:	0.29

USD / PKR ₨

This Week	:	283.73
Previous Week	:	285.33
Gained	:	1.60

USD / TRY ₺

This Week	:	28.98
Previous Week	:	28.92
Lost	:	0.06

India

This market experienced a slight improvement over the course of the week.

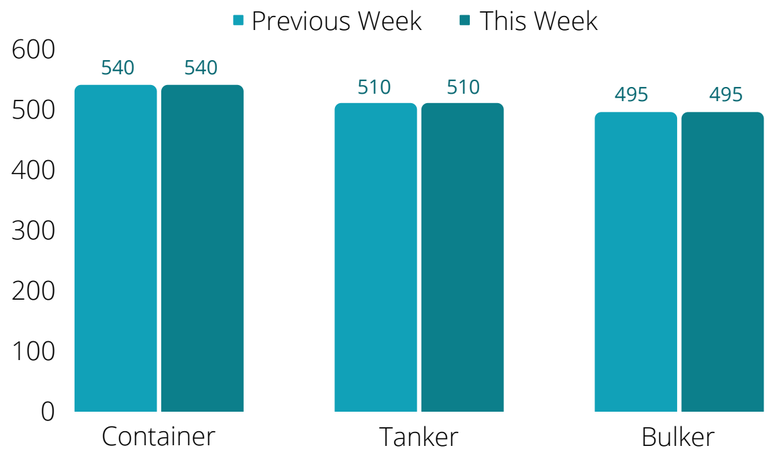
- The local market experienced a marginal improvement, with prices per ton rising by 500-800 INR.
- The current situation exhibits a slight improvement compared to the previous week, and it is anticipated that the upcoming week will demonstrate further progress.
- S&P Global Ratings forecasts that India will emerge as the third-largest global economy by 2030. In the fiscal year 2026-27, the rating agency forecasts that India's GDP growth will reach a level of 7%.
- In tune with the premise, the Indian economy expanded at a robust 7.6% annual rate in the second quarter of the current fiscal year, exceeding expectations, according to GDP data released by the National Statistical Office last week.

Beaching Dates

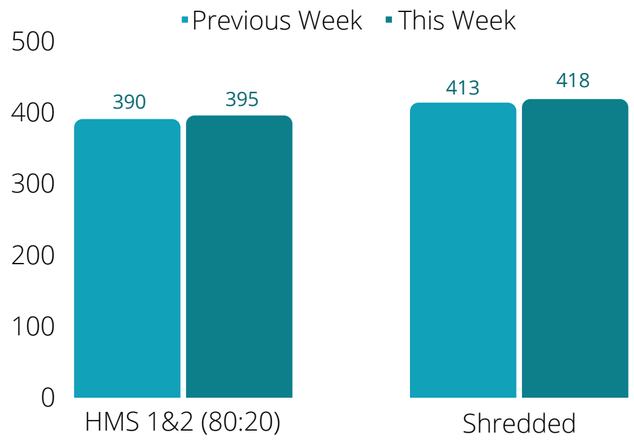
01 December to 02 December 2023

11 December to 19 December 2023

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

The local market is at a sluggish pace and is expected to remain in this state for a while.

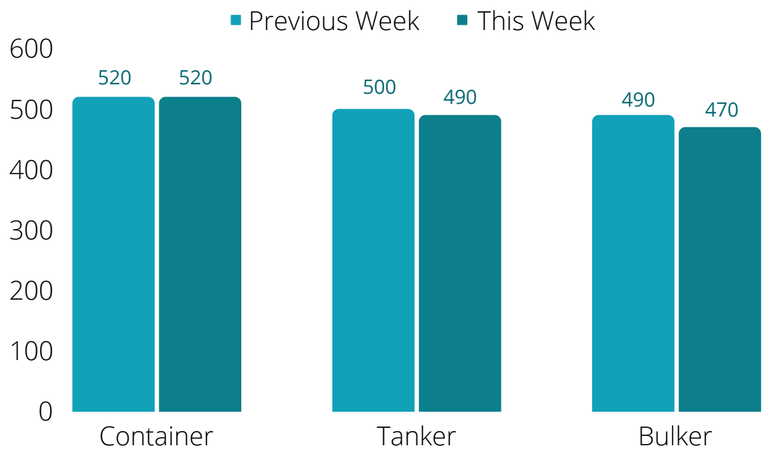
- The current state of the local market is characterized by a sluggish pace and a notable decrease in demand for local inventory.
- The insufficient level of interest and equivalent response can be attributed to the scarcity of USD.
- As a result of the current USD shortage, purchasers are acquiring the currency at a rate of 124 - 126 taka per USD.
- As previously mentioned, this is the closing month for buyers, and they continue to show no interest. Additionally, the Bangladeshi elections will take place on January 7, so we can anticipate that the situation will remain largely unchanged not only for this month but also for the first two quarters of the following year.

Beaching Dates

12 December to 15 December 2023

26 December to 29 December 2023

Price for Recycling Ships in Bangladesh



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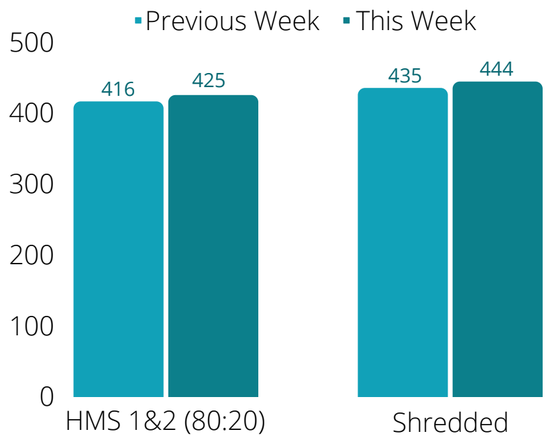
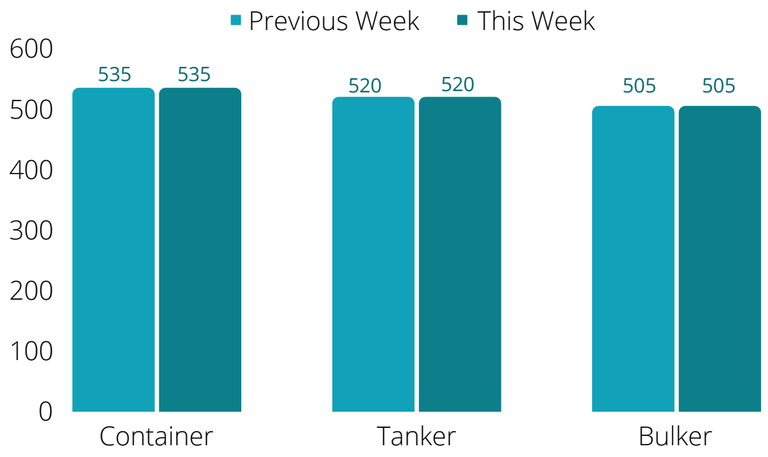


Pakistan

This week has been characterized by a continuation of the quiet atmosphere observed in the preceding week.

- The current situation this week remains unchanged from the previous week, characterized by a lack of activity.
- The local market appeared to be extremely quiet.
- It is anticipated that Pakistan's economy will recover in fiscal year 2024, as evidenced by a 2.1% increase in Gross Domestic Product (GDP), following a 0.17% contraction in the preceding year. In fiscal year 2025, the growth rate is anticipated to spike to 4.8%.
- Pakistan's initial assessment, which will release $700 million under the standby arrangement (SBA), will be reviewed by the IMF's Executive Board for approval on January 11, 2024.

Price for Recycling Ships in Pakistan



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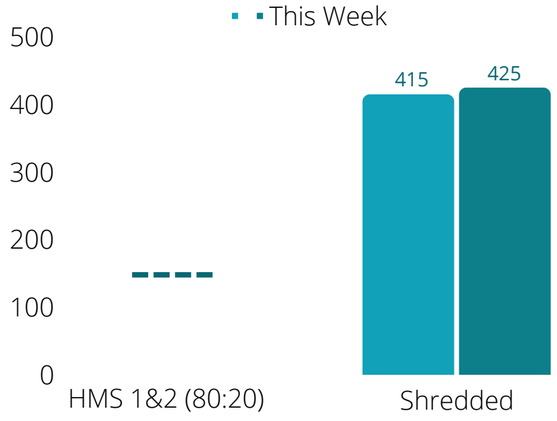


Beaching Dates

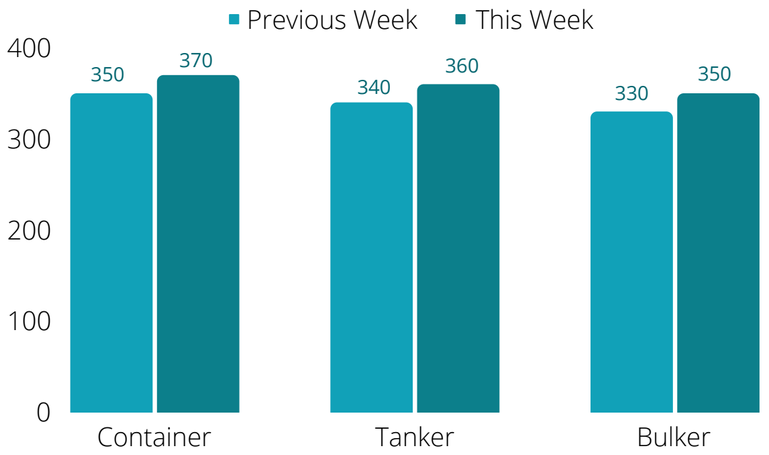
Throughout the month

Türkiye

The current market is exhibiting a positive trajectory, similar to that observed in the previous week.

- A notable increase of 20 USD has been observed in both import and local prices.
- The supply of vessels is anticipated to experience growth, leading to an expected rise in the number of candidates in the first quarter of 2024.
- November witnessed a 62% year-over-year increase in inflation in Turkey. November's increase follows October's annual increase of 61.36%, a trend fueled by the Turkish lira's depreciation. Although the official figures are notably elevated, independent economists affiliated with the Inflation Research Group (ENAG) contend that the actual fiscal situation may be even more dire.

Price for Recycling Ships in Türkiye



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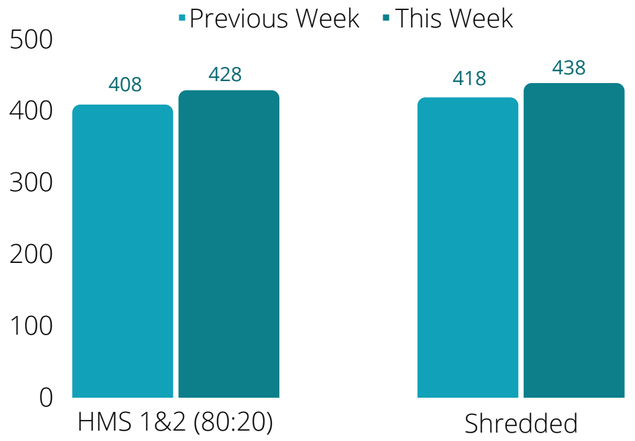
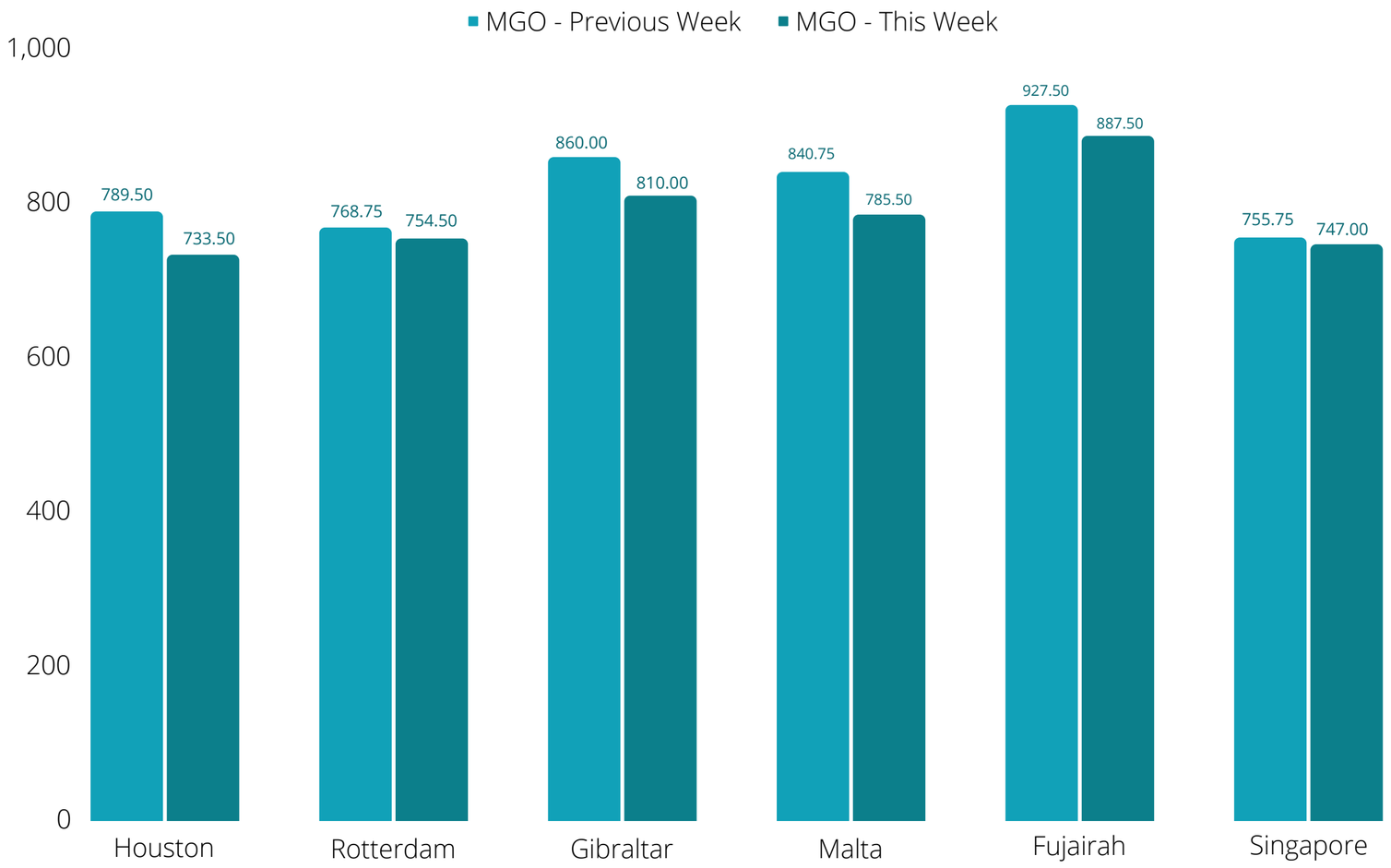


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 75.71
Previous Week	: 78.88
Movement	: - 3.17

WTI Crude

This Week	: 70.91
Previous Week	: 74.07
Movement	: -3.16

List of Vessels Sold this Week

- No vessel sale to report this week.

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